

PREMIUM RESOURCE · AI & FINANCE AUTOMATION

AI in Finance Glossary

A 50-term glossary of AI and automation terms relevant to finance professionals — plain language definitions with finance-context examples.

50 Terms

Plain Language Definitions

Finance-Context Examples

Premium · €25

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terms

7

categories

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finance examples

A-Z

quick index

HOW TO USE THIS GLOSSARY

Terms are grouped by theme so you can read a category straight through to build genuine understanding, not just look words up in isolation. Every term includes a finance-specific example — the general definition alone rarely makes the concept click the way seeing it applied to an invoice, a reconciliation, or a forecast does. An alphabetical index for quick lookup is provided at the end.

01 Core AI Concepts

8 terms

01. Artificial Intelligence (AI)

Software that performs tasks normally requiring human intelligence — reasoning, pattern recognition, language understanding.

FINANCE EXAMPLE: *An AI tool reading an invoice and extracting the vendor name and amount without a human typing it in.*

02. Machine Learning (ML)

A type of AI where a system learns patterns from historical data rather than following explicitly programmed rules.

FINANCE EXAMPLE: *A cash flow forecasting model trained on three years of transaction history to predict next month's balance.*

03. Algorithm

A defined set of steps a computer follows to complete a task or solve a problem.

FINANCE EXAMPLE: *The specific set of rules a reconciliation tool uses to match a bank transaction to an invoice.*

04. Model

The trained output of a machine learning process — the thing that actually makes predictions once trained.

FINANCE EXAMPLE: *A trained anomaly-detection model that flags transactions unusual for a given vendor.*

05. Training Data

The historical data used to teach a machine learning model to recognise patterns.

FINANCE EXAMPLE: *Two years of correctly categorised expense transactions, used to train a model to auto-categorise new expenses.*

06. Inference

The process of a trained model making a prediction on new, previously unseen data.

FINANCE EXAMPLE: *The model looking at this month's invoice and predicting which GL account it belongs to.*

07. Automation

Using technology to perform a task with reduced or no human intervention — doesn't necessarily involve AI at all.

FINANCE EXAMPLE: *A rule that automatically routes any invoice over \$10,000 to a manager for approval.*

08. Confidence Score

A number representing how certain a model is about a specific prediction — not a guarantee of accuracy.

FINANCE EXAMPLE: *An invoice-matching tool marking a match as "62% confidence," signalling it should be reviewed by a human, not auto-posted.*

02 Generative AI & Language Models

8 terms

09. Generative AI

AI that creates new content — text, images, code — rather than just classifying or predicting from existing categories.

FINANCE EXAMPLE: *A tool drafting a first version of variance commentary for the board pack.*

10. Large Language Model (LLM)

A type of generative AI model trained on vast amounts of text, able to understand and produce human-like language.

FINANCE EXAMPLE: *The underlying technology behind tools like Copilot that draft emails or summarise documents.*

11. Prompt

The instruction or question given to a generative AI tool to produce a specific response.

FINANCE EXAMPLE: *"Summarise the key variances in this month's P&L in three bullet points."*

12. Hallucination

When a generative AI model produces a confident-sounding but factually incorrect or fabricated response.

FINANCE EXAMPLE: *An AI assistant citing a specific policy clause that doesn't actually exist in the real policy document.*

13. Copilot

A category of generative AI assistant embedded directly into existing productivity tools, assisting rather than replacing the user.

FINANCE EXAMPLE: *Microsoft 365 Copilot drafting an email that summarises an attached spreadsheet.*

14. Fine-Tuning

Further training a general-purpose AI model on a narrower, specific dataset to improve its performance on a particular task.

FINANCE EXAMPLE: *Adjusting a general language model with your company's specific chart of accounts terminology.*

15. Token

The basic unit of text an AI language model processes — roughly a word or part of a word.

FINANCE EXAMPLE: *Why a very long financial report might need to be summarised in sections rather than pasted in all at once.*

16. Context Window

The maximum amount of text a language model can consider at once when generating a response.

FINANCE EXAMPLE: *Why an AI assistant might “forget” details from the start of a very long document it was asked to review.*

03 Workflow Automation & RPA

7 terms

17. Robotic Process Automation (RPA)

Software that automates repetitive, rule-based digital tasks by mimicking the exact steps a human would take.

FINANCE EXAMPLE: *A bot that logs into a banking portal, downloads a statement, and uploads it to the accounting system every morning.*

18. Workflow Automation

Automating a business process end-to-end, often across multiple systems, based on defined triggers and conditions.

FINANCE EXAMPLE: *An invoice automatically routing for approval, then posting to the ledger once approved.*

19. Trigger

The specific event that starts an automated workflow.

FINANCE EXAMPLE: *“When a new invoice is added to this folder” starting an approval-routing flow.*

20. Connector

A pre-built integration that lets an automation tool communicate with a specific software system.

FINANCE EXAMPLE: *A SharePoint connector allowing a workflow tool to read a list of expense submissions.*

21. Bot

A general term for an automated software agent performing a defined task, ranging from simple scripts to complex AI-driven agents.

FINANCE EXAMPLE: A “reconciliation bot” that matches bank transactions to ledger entries each morning.

22. Exception Handling

The defined process for what happens when an automated workflow encounters something it can't process normally.

FINANCE EXAMPLE: An invoice with a missing PO number being flagged for manual review instead of silently failing.

23. Straight-Through Processing (STP)

A transaction processed entirely by automated systems with no manual intervention at any step.

FINANCE EXAMPLE: A standard, correctly formatted invoice that's matched, approved by rule, and posted with zero human touches.

04 Predictive Analytics & Forecasting

7 terms

24. Predictive Analytics

Using historical data and statistical techniques to forecast future outcomes.

FINANCE EXAMPLE: Forecasting next quarter's cash position based on historical collection patterns.

25. Anomaly Detection

Identifying data points that deviate significantly from expected patterns.

FINANCE EXAMPLE: Flagging a transaction that's 50 times larger than a vendor's typical invoice amount.

26. Forecasting Model

A structured method, often statistical, for projecting future values based on historical trends.

FINANCE EXAMPLE: A rolling 13-week cash flow model updated weekly with actual results.

27. Variance

The difference between an actual result and a forecasted, budgeted, or expected value.

FINANCE EXAMPLE: Actual marketing spend coming in 15% over budget for the month.

28. Regression Analysis

A statistical method for understanding the relationship between one variable and one or more others.

FINANCE EXAMPLE: Estimating how much revenue typically changes for every dollar spent on advertising.

29. Time Series Data

Data points collected or recorded at successive points in time, used heavily in forecasting.

FINANCE EXAMPLE: Monthly revenue figures for the past three years.

30. Scenario Modelling

Building multiple versions of a forecast based on different assumptions, to understand a range of possible outcomes.

FINANCE EXAMPLE: *Best-case, base-case, and worst-case cash flow projections for the next quarter.*

05 Data & Integration

7 terms

31. Structured Data

Data organised in a predictable, defined format, such as rows and columns in a database.

FINANCE EXAMPLE: *A general ledger export with consistent columns for date, account, and amount.*

32. Unstructured Data

Data without a predefined format, such as free text, emails, or scanned documents.

FINANCE EXAMPLE: *A PDF invoice where the amount could appear in different places depending on the vendor's template.*

33. Optical Character Recognition (OCR)

Technology that converts images of text, like a scanned document, into machine-readable text data.

FINANCE EXAMPLE: *Extracting the invoice number and amount from a scanned paper invoice.*

34. API (Application Programming Interface)

A defined way for two software systems to exchange data or instructions with each other.

FINANCE EXAMPLE: *How an expense management tool automatically pulls exchange rates from a currency data provider.*

35. Data Pipeline

The automated sequence of steps that moves and transforms data from a source system to where it's needed.

FINANCE EXAMPLE: *The nightly process pulling transactions from the point-of-sale system into the accounting system.*

36. Single Source of Truth

One authoritative, agreed data source for a given figure, rather than multiple systems potentially disagreeing.

FINANCE EXAMPLE: *Designating the ERP, not a shadow spreadsheet, as the definitive source for revenue figures.*

37. Data Lineage

The traceable record of where a piece of data came from and what transformations it went through.

FINANCE EXAMPLE: *Being able to show an auditor exactly how a reported revenue figure was calculated from source transactions.*

06 Governance, Risk & Compliance

7 terms

38. Model Risk

The risk that a model used for a real decision is wrong, misused, or poorly understood.

FINANCE EXAMPLE: *A forecasting model trained on pre-pandemic data producing misleading predictions for a materially changed business.*

39. Explainability

The degree to which a specific AI-driven output or decision can be traced back to a clear, human-understandable reason.

FINANCE EXAMPLE: *Being able to explain to an auditor why a specific transaction was flagged as an anomaly.*

40. Data Loss Prevention (DLP)

A policy or technology control that prevents sensitive data from moving to unauthorised systems or destinations.

FINANCE EXAMPLE: *A rule blocking a workflow tool from connecting a company's internal SharePoint to a personal cloud storage account.*

41. Access Control

The mechanisms and policies that determine who can view or modify specific data or systems.

FINANCE EXAMPLE: *Restricting who can approve invoices above a certain dollar threshold.*

42. Audit Trail

A chronological record of who did what, and when, within a system or process.

FINANCE EXAMPLE: *A log showing exactly which user approved a specific journal entry and at what time.*

43. Human-in-the-Loop

A design approach where a human reviews or approves an AI system's output before it takes effect.

FINANCE EXAMPLE: *Requiring a controller to approve any AI-flagged reconciliation exception before it's written off.*

44. Bias (in AI)

A systematic skew in a model's output, often inherited from patterns in its training data.

FINANCE EXAMPLE: *A vendor-risk model unfairly flagging smaller or newer suppliers more often, simply because there's less historical data about them.*

07 Tools & Platforms

6 terms

45. ERP (Enterprise Resource Planning)

The core software system managing an organisation's financial and operational data.

FINANCE EXAMPLE: *The system of record where the general ledger, AP, and AR actually live.*

46. Cloud Computing

Delivering computing resources — storage, processing power, software — over the internet rather than on local company hardware.

FINANCE EXAMPLE: *An accounting system accessible from anywhere, hosted by the vendor rather than run on an office server.*

47. SaaS (Software as a Service)

Software delivered over the internet on a subscription basis, rather than installed and run locally.

FINANCE EXAMPLE: *A monthly per-user subscription to a cloud-based expense management tool.*

48. No-Code / Low-Code

Tools that let people build workflows or applications with minimal or no traditional programming.

FINANCE EXAMPLE: *Building an approval workflow by configuring steps visually, rather than writing custom code.*

49. Centre of Excellence (CoE)

A team or group that sets standards and coordinates a specific capability, such as AI or automation, across an organisation.

FINANCE EXAMPLE: *A small cross-functional group reviewing every new AI tool request before it's approved for finance use.*

50. Sandbox

A safe, isolated testing environment where a tool can be tried on non-critical data without affecting real systems.

FINANCE EXAMPLE: *Testing an AI invoice-matching tool on last year's already-closed invoices before using it on live data.*

QUICK REFERENCE

Alphabetical Index

All 50 terms in alphabetical order, with the category each belongs to — for when you already know the word and just need the definition.

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Bot	Workflow Automation & RPA	Prompt	Generative AI & Language Models
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Context Window	Generative AI & Language Models	Scenario Modelling	Predictive Analytics & Forecasting
Copilot	Generative AI & Language Models	Single Source of Truth	Data & Integration
Data Lineage	Data & Integration	Straight-Through Processing (STP)	Workflow Automation & RPA
Data Loss Prevention (DLP)	Governance, Risk & Compliance	Structured Data	Data & Integration
Data Pipeline	Data & Integration	Time Series Data	Predictive Analytics & Forecasting
ERP (Enterprise Resource Planning)	Tools & Platforms	Token	Generative AI & Language Models
Exception Handling	Workflow Automation & RPA	Training Data	Core AI Concepts
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Fine-Tuning	Generative AI & Language Models	Unstructured Data	Data & Integration
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Hallucination	Generative AI & Language Models		
Human-in-the-Loop	Governance, Risk & Compliance		

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BUILDING AI LITERACY ACROSS YOUR TEAM

For a facilitated session walking your finance team through these concepts with your own systems and use cases as examples — a bespoke engagement is available on request.

info@mddbusinessconsulting.com